

# Workforce Reduction (WFR) Frequently Asked Questions (FAQs)

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## General Questions

**1. *Why is this Workforce Reduction happening?***

We recently completed a series of realignments to further stabilize the business and create more financial capacity to invest in innovation, but it's not enough. If we are to position the company as the industry leader for the future, then we must take additional actions that, while tough, are necessary to move our business forward.

**2. *What are we doing with the contingent workforce? Are they being impacted? Why aren't we reducing them before regular employees?***

The decisions for workforce reduction are made through the Organizational Design and Selection (OD&S) Process. Contingent workers are excluded from that process. In workforce planning process, there is a review of the total cost affordability model and the contingent workforce is part of the cost modeling considerations. Some positions may be eliminated as a result of the overall cost model. However, the business model has always been to maintain some temporary workforce to augment the regular workforce.

## Benefits

**3. *Where do I direct my questions about benefits?***

Please direct your questions to HRConnect

**4. What is the Employee Assistance Program?**

The Employee Assistance Program (EAP) is a provider of confidential assessment, short-term counseling, and referral services for you and your eligible dependents to address personal issues such as stress management, family relationships, depression and financial concerns. The EAP provides up to eight sessions per calendar year at no cost to you. You can reach Human Dynamics (EAP vendor) at 1800 880735 (within Malaysia) or on the web at <http://myworklife.humandynamic.com>. To access the site, please use the username "wlc" and password "ezlife01". Proceed to log in to your personal account. Local hotlines for each country are available online. This benefit is available 24 hours a day, 7 days a week, 365 days a year. EAP benefits are available for up to 90 days from the end of the month in which termination occurs.

**5. When will my medical, dental and vision benefits end?**

In most cases, these benefits end at midnight on your termination date.

**6. Can I use vacation time during the Career Transition Period?**

Work with your manager regarding your vacation options during the Career Transition Period based on the policy.

**7. Once I leave the company, how can I have access my grant history information?** Merrill Lynch is the record keeper for company's equity awards (excluding the ESPP). Your grant history can be found on the Merrill Lynch website at [www.mybenefits.ml.com](http://www.mybenefits.ml.com) at any time after you leave the company; however, updated information due to your termination of employment may not be available immediately. If you need assistance, you can also call a Merrill Lynch Participant Service Representative at +1-609-818-8913 (or toll free in the U.S., Canada, or Puerto Rico at 1-888-447-7862).

**8. What happens to my performance-based restricted units?** You will receive a release of shares (if any) in connection with any performance-based restricted units (PRUs) you currently hold from the plans based on the actual performance results of those PRU programs at the end of the 3-year performance period. Any release of shares with respect to your PRU grants will be pro-rated based on your number of whole months of active service during the performance period of each program under which you hold a grant. If actual performance is below the minimum threshold, no shares will be released.

**9. What happens to my restricted stock awards or restricted stock units or long-term cash awards?**

Any restricted stock awards (RSAs) or restricted stock units (RSUs) or long-term cash (LTC) awards granted under the plan will be prorated based on the number of months worked during the vesting period, provided that the employee has been employed for at least 25% of the vesting period. Restricted stock awards and restricted stock units assumed by the company as a result of a merger or acquisition will follow the terms of the original award agreement.

**10. What happens to my stock options?** For vested stock options granted under the plan you will have up to three months or the original expiration, if earlier, to exercise vested stock options. Unvested stock options will be forfeited upon termination. This treatment also applies to Compaq plan options granted after May 2002 and EDS plan options granted after August 26, 2008. Incentive stock options and stock options assumed by the company as a result of a merger or acquisition will follow the terms of the original award agreement.

**11. Will I see any adjustments to my equity awards before my termination date? What about after my termination date?**

Please note that the Merrill Lynch website will not show adjustments to your award(s) as a result of your termination until after your termination date. For example, any changes to your post-termination exercise period cannot be updated until after you have left the company. After you have terminated from the company, the Merrill Lynch website will be updated to reflect any changes relating to your termination.

**12. When is the last day I can exercise my stock options?** The expiration date shown on the Merrill Lynch website is the last day that your stock option(s) is available for exercise; you must exercise your stock option(s), if at all, on a day that the New York Stock Exchange is open for trading and before the Expiration/Last Date to Exercise, which is shown on the Grant Summary page located in the Equity Plans tab on the Merrill Lynch website. The New York Stock Exchange is open from Monday through Friday 9:30 a.m. to 4:00 p.m. ET, except for stock exchange holidays. You are solely responsible for tracking your own stock option expiration dates. You can contact Merrill Lynch at [www.mybenefits.ml.com](http://www.mybenefits.ml.com) or call Merrill Lynch at +1-609-818-8913 (or toll free in the U.S., Canada, or Puerto Rico at 1-888-447-7862).

**13. Who can I contact with equity questions or to obtain my equity award information?**

You may view your current equity awards at Merrill Lynch at [www.mybenefits.ml.com](http://www.mybenefits.ml.com) or you can call Merrill Lynch at

+1-888-447-7862 (toll free)  
+1-609-818-8913 (toll, international)

**14. Upon termination, what happens to the contributions I have made to the ESPP for the current offering period?**

If your termination date is before the purchase date at the end of each October and April, any contributions made to the ESPP will be refunded to you, and no stock will be purchased.

**15. What happens to stock that I've already purchased through the ESPP?**

The shares you have purchased through the ESPP will remain in your account at Fidelity until you sell them or transfer them to another broker. You may continue to hold company's Shares in your Fidelity account as long as you wish.

## Pay

**16. What can I expect to receive as a severance payment?**

The affected employee will receive payment under the WFR program less all statutory deductions on the 28th of the current month, subject to submission by the affected employee to payroll of income tax clearance (where applicable) by/before the 10th of the current month. Any submission later than that, the payment will be made on the 28th of the following month.

**17. Is my severance/lump-sum payment taxable?**

Yes. The severance/lump-sum payment is taxable. Company will withhold taxes at the applicable rate.

**18. How is my cash severance/lump-sum payment calculated if I am an incentive employee?**

Your cash severance/lump sum payment is calculated based on your target pay. If you have sales compensation related questions, Please contact [Sales Compensation team](#) for questions or assistance with your incentive compensation payments.

**19. I worked at the company many years ago, left, and then rehired a few years later. Why doesn't my prior service count for purposes of the severance benefit calculation, when it's always been counted for other purposes, like vacation and service awards?**

The terms of the WFR Plan only count continuous service since your most recent hire date.

**20. What if I don't agree with the calculation on the severance estimated statement (annual salary, calculation etc.)?**

If you don't agree with the severance calculation shown on your estimated statement, log an HRConnect case to payroll explaining your concern or question.

## Job Search

**21. Can an employee on "performance warning" apply for internal positions?**

Employees on "performance warning" are not eligible to apply for internal positions without management approval.

**22. Can a "4" rated employee apply for other jobs?**

4-rated employees are not eligible to change jobs or job codes.

## Returning to Work After Termination

**23. *Are there any restrictions on my ability to return to work at company as an employee or contractor after my termination date?***

For a period of 1-year from termination, you will not be eligible for rehire without approval of the hiring business group's vice president of HR. There is a 12-month waiting period to be eligible for engagement as a contingent worker.